

Divided HOUSE

The states can't agree, and the April 2010 deadline to introduce a uniform goods and services tax looks impossible

By Nivedita Mukherjee

It is the biggest opportunity to create a pan-India market and unify the elements of an elaborate, multiple taxation system into a single, efficient and transparent indirect tax structure. It is the single-most important reform stimulus since the 1990-91 economic reforms launched by the then prime minister P.V. Narasimha Rao. It is also perhaps India's most anxiously awaited paradigm change in the way revenue is collected and managed. But chances are that the uniform goods and services tax (GST) regime will not be able to keep its date with the country on April 1, 2010, thanks to the mess in policy framing and implementation.

If the GST is implemented in time, a comprehensive tax system will take over, replacing a spaghetti bowl of

What the GST WILL DO

- Usher efficiency in the tax system by redistributing the burden of taxation equitably between manufacturing and services
- Lower the tax rate by broadening the tax

base and minimising exemptions

- Reduce distortions by completely switching to the destination principle.
- Facilitate investment decisions, independent of tax considerations
- Promote exports

